

UGC NET Economics — PYQs

Unit 2 — Macro-Economic Analysis

142 questions · 14 papers (Dec 2018 – Dec 2025) · English only · with options · no answers

Paper	Qs
UGC NET December 2018	10
UGC NET June 2019 (21 June 2019, Shift 1)	12
UGC NET December 2019 (3 Dec 2019, Shift 1)	7
UGC NET June 2020 (exam held 30 Sep 2020, Shift 2)	9
UGC NET December 2020 & June 2021 (merged cycle, exam Nov 2021)	9
UGC NET December 2021 & June 2022 (merged cycle, exam Oct 2022)	10
UGC NET December 2022 (Shift 1)	13
UGC NET December 2022 (Shift 2)	9
UGC NET June 2023 (20 June 2023)	10
UGC NET December 2023 (12 Dec 2023, Shift 1)	9
UGC NET August 2024 (28 Aug 2024, Shift 1)	9
UGC NET December 2024	14
UGC NET June 2025 (29 June 2025, Shift 2)	11
UGC NET December 2025 (Exam held 31 Dec 2025 – 7 Jan 2026)	10

Source: UGC NET Economics (Paper II) question papers / response sheets in D:\DIVYANSHU\09 UGC NET ECONOMICS\PYQ (Dec 2018 – Dec 2025; duplicate files skipped). Questions are grouped by the UPHESC Assistant Professor Economics syllabus units; original paper and question number shown next to each question. English only · with options · no answers. Micro (Unit 1) questions are in the separate Micro PDF. Dec 2019 paper file ends at Q145 (Q146–150 not in the source).

Unit 2 — Macro-Economic Analysis

UGC NET December 2018

Q1. Which of the following statements about rational expectations is false? [December 2018 · Q.62]

- (1) It assumes that people take account of all information.
- (2) It assumes that on an average the forecasts made by the public are correct.
- (3) It implies that the expected changes in demand have no effect on unemployment.
- (4) It implies that unexpected changes in demand have long lasting effect on both unemployment and price level.

Q2. Which amongst the following is/are correct for the Keynesian model? [December 2018 · Q.64]

- (1) It assumes full employment of resources.
- (2) It ignores the money market.
- (3) It is supply determined.
- (4) None of the above

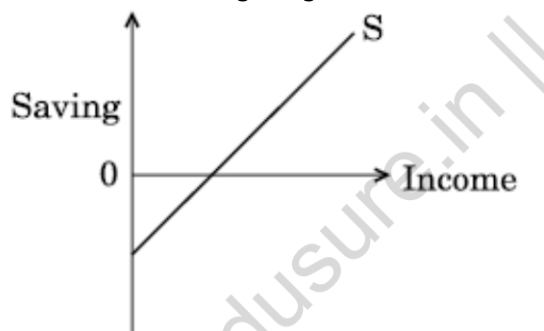
Q3. According to New Classical Economics, Real Business Cycles are the result of which of the following? [December 2018 · Q.65]

- (i) Innovations
- (ii) Bad Weather
- (iii) Tax Policy
- (iv) Debt Policy

Choose the correct answer from the code given below:

- (1) (i) and (ii)
- (2) (i) and (iii)
- (3) (iii) and (iv)
- (4) (ii) and (iv)

Q4. Consider the following diagram and the statements: [December 2018 · Q.66]



- (i) Saving is positively related to income.
- (ii) Marginal propensity to save is positive, but less than 1.

Choose the correct answer from the code given below:

- (1) Only (i)
- (2) Both (i) and (ii)
- (3) Only (ii)
- (4) Neither (i) nor (ii)

Q5. An increase in the level of government spending, other things being equal, will in the IS-LM model [December 2018 · Q.67]

- (1) Increase interest rates, shifting the LM curve to the left
- (2) Increase the level of equilibrium income at all interest rates, shifting the IS curve right
- (3) Lower interest rates, shifting the LM curve to the right
- (4) Always move an economy to full employment

Q6. In a hypothetical economy, the rate of growth of nominal GDP is 15% per annum, the annual rate of growth of GDP deflator is 5%. If the population is growing at the rate of growth of 2% per annum, what will be the annual rate of growth of per capita real GDP? [December 2018 · Q.68]

- (1) 8%
- (2) 10%
- (3) 3%
- (4) 7%

Q7. According to Bent Hansen, which amongst the following were treated as factors enhancing effective demand? [December 2018 · Q.70]

- (i) Public expenditure
- (ii) Rising population
- (iii) Banking and financial system

Choose the correct answer from the code given below:

- (1) (i) and (iii)
- (2) (i) and (ii)
- (3) (ii) and (iii)
- (4) (i), (ii) and (iii)

Q8. On which of the following do Keynesians and Monetarists agree? [December 2018 · Q.72]

- (1) The most important cause of demand shocks is changes in supply.
- (2) The demand for money is interest elastic.
- (3) Output deviates at times from the potential output because of demand shocks.
- (4) When there is recessionary gap, flexible wages will retrieve the labour market to equilibrium quickly.

Q9. Which of the following will result in the 'crowding in' effect in the economy? [December 2018 · Q.90]

- (i) Public borrowings to finance spending on infrastructure
- (ii) Public borrowings to finance spending on salaries and wages
- (iii) Public borrowings to finance spending on health and education
- (iv) Public borrowings to finance spending on skill development

Choose the correct answer from the code given below:

- (1) (i), (ii) and (iii)
- (2) (iii) and (iv)
- (3) (i), (iii) and (iv)
- (4) (i) and (ii)

Q10. Given below are two statements, one labelled as Assertion (A) and the other labelled as Reason (R). Read the statements and choose the correct answer using the code given below.

[December 2018 · Q.131]

Assertion (A): Business-cycles according to new classical economics are monetary in nature.

Reason (R): These are the result of the fall in real wage rates.

- (1) Both (A) and (R) are true and (R) is the correct explanation of (A).
- (2) Both (A) and (R) are true, but (R) is not the correct explanation of (A).
- (3) (A) is true, but (R) is false.
- (4) (A) is false, but (R) is true.

UGC NET June 2019 (21 June 2019, Shift 1)

Passage / data for Q.63-65 (June 2019 S1)

Direction: Read the passage given below and answer the questions that follow it:

Suppose that for a particular economy for some time period, investment was equal to 100, government expenditure was equal to 75, net taxes were fixed at 100 and consumption (C) was given by the consumption function: $C = 25 + 0.8 YD$, where YD is disposable income and Y is GDP.

Q11. What is the level of equilibrium income (Y)? [June 2019 S1 · Q.63]

- (1) 700
- (2) 600
- (3) 850
- (4) 800

Q12. What is the value of the government expenditure multiplier ($\Delta Y/\Delta G$)? [June 2019 S1 · Q.64]

- (1) 5
- (2) 4
- (3) 6
- (4) 3

Q13. What is the value of tax multiplier ($\Delta Y/\Delta T$)? [June 2019 S1 · Q.65]

- (1) -3
- (2) -2
- (3) -5
- (4) -4

Q14. Match List-I with List-II: [June 2019 S1 · Q.66]

List - I	List - II
(a) Accelerator and multiplier interaction	(i) Modigliani, Ando and Brumberg
(b) Cambridge approach	(ii) Akerlof and Yellen
(c) Life cycle hypothesis	(iii) Paul Samuelson
(d) Efficiency wage model	(iv) Alfred Marshal and A. C. Pigou

Choose the correct option from those given below:

- (1) (a)-(i); (b)-(iv); (c)-(ii); (d)-(iii)
- (2) (a)-(iii); (b)-(iv); (c)-(i); (d)-(ii)
- (3) (a)-(ii); (b)-(i); (c)-(iii); (d)-(iv)
- (4) (a)-(iv); (b)-(iii); (c)-(ii); (d)-(i)

Q15. An increase in money supply will increase the demand for goods and services by [June 2019 S1 · Q.67]

- (1) reducing government spending
- (2) lowering the interest rate so that investment spending increases
- (3) raising interest rate so that investment spending reduces
- (4) increasing government spending on goods and services

Q16. The long-term chronic unemployment arising from imbalance between the skills and other characteristics of workers in the market and the needs of employers is known as [June 2019 S1 · Q.68]

- (1) cyclical unemployment
- (2) frictional unemployment
- (3) structural unemployment
- (4) seasonal unemployment

Q17. As income falls, consumption declines but proportionately less than the decrease in income because the consumer desires to sustain previous standard of living. This is called [June 2019 S1 · Q.69]

- (1) ratchet effect
- (2) wealth effect
- (3) demonstration effect
- (4) income effect

Q18. In efficiency wage model, the real wage is set to [June 2019 S1 · Q.70]

- (1) minimise the efficiency of worker per rupee of real wages received
- (2) clear the labour market
- (3) not to clear the labour market
- (4) maximise the efficiency of worker per rupee of real wages received

Q19. By 'financial crowding out' economists mean [June 2019 S1 · Q.71]

- (1) credit rationing
- (2) what the government borrows cannot be used for private investment
- (3) government borrowings drive up interest rate
- (4) Reserve Bank of India controls on commercial bank lendings

Q20. An increase in fiscal spending leads to [June 2019 S1 · Q.72]

- (1) a shift of Phillips curve to the left
- (2) a shift of Phillips curve to the right
- (3) movement along the Phillips curve such that unemployment rises inflation also rises
- (4) [4th option not printed in the source paper]

Q21. Assume that an economy begins in macroeconomic equilibrium, then taxes are significantly decreased. As a result of this change [June 2019 S1 · Q.73]

- (1) there is expansion and deflation in the economy
- (2) there is recession and deflation in the economy
- (3) there is expansion and inflation in the economy
- (4) there is stagflation in the economy

Q22. The rational expectations hypothesis suggests that the forecasts that people make concerning future inflation rates [June 2019 S1 · Q.74]

- (1) consistently overestimates the actual rate of inflation in the future
- (2) are always correct
- (3) consistently underestimates the actual rate of inflation in the future
- (4) are correct on an average but are subject to errors that are distributed randomly

UGC NET December 2019 (3 Dec 2019, Shift 1)

Q23. Given the saving function $S = -20 + 0.2Y$ and autonomous investment $(I) = \text{Rs. } 100$ million, the equilibrium level of consumption would be: [December 2019 S1 · Q.55]

- (1) 500
- (2) 600
- (3) 400
- (4) 700

Q24. For which of the following consumption function, the value of the income multiplier $K = 4$?

[December 2019 S1 · Q.56]

- (1) $C = 100 + .5Y$
- (2) $C = 50 + .8Y$
- (3) $C = 200 + .75Y$
- (4) $C = 50 + .4Y$

Q25. Autonomous investment could be attributed to: [December 2019 S1 · Q.93]

- (a) Level of technology
- (b) Expectation
- (c) Level of national income

Choose the correct option:

- (1) (a) and (c) only
- (2) (b) and (c) only
- (3) (a) and (b) only
- (4) (a), (b) and (c)

Q26. Under which of the following approaches Phillips Curve Analysis holds good? [December 2019 S1 · Q.94]

- (a) Adaptive expectation
- (b) Rational expectation

Choose the correct option:

- (1) Only (a)
- (2) Only (b)
- (3) Both (a) and (b)
- (4) Neither (a) nor (b)

Q27. Match the following: [December 2019 S1 · Q.112]

List - I	List - II
(a) Marginalist Revolution	(i) Samuelson
(b) Multiplier-Accelerator model	(ii) J.R. Hicks
(c) IS-LM curves	(iii) Jevons
(d) Real Business Cycle	(iv) Robert J. Barro

Choose the correct option from those given below:

- (1) (a)-(iii), (b)-(i), (c)-(ii), (d)-(iv)
- (2) (a)-(ii), (b)-(iv), (c)-(i), (d)-(iii)
- (3) (a)-(iii), (b)-(ii), (c)-(iv), (d)-(i)
- (4) (a)-(i), (b)-(iv), (c)-(iii), (d)-(ii)

Q28. Identify the correct chronological order of the following: [December 2019 S1 · Q.122]

- (a) Hayek Theory of Investment
- (b) Fisher Theory of Investment
- (c) Jorgenson's Theory of Investment
- (d) Markowitz Theory of Investment

Select the correct option from those given below:

- (1) (b), (a), (d), (c)
- (2) (d), (b), (c), (a)
- (3) (c), (a), (b), (d)
- (4) (a), (c), (d), (b)

Q29. Given below are two statements — one is labelled as Assertion (A) and the other is labelled as Reason (R): [December 2019 S1 · Q.132]

Assertion (A): In classical model, investment demand is regarded as autonomous of changes in income or employment

Reason (R): It is wage price flexibility which brings full employment in the classical model

In the light of the above two statements, choose the correct option:

- (1) Both (A) and (R) are true and (R) is correct explanation of (A)
- (2) Both (A) and (R) are true and (R) is not correct explanation of (A)
- (3) (A) is true but (R) is false
- (4) (A) is false but (R) is true

UGC NET June 2020 (exam held 30 Sep 2020, Shift 2)

Q30. Absolute income hypothesis explains [June 2020 S2 · Q.64]

- (1) Consumer behavior
- (2) Producer behavior
- (3) Inflation
- (4) Government expenditure

Q31. The government multiplier is given by (where c = MPC and t = tax rate) [June 2020 S2 · Q.66]

- (1) $1 / [1 - (c - t)]$
- (2) $1 / [(1 - c)t]$
- (3) $1 / (1 - c - t)$
- (4) $1 / [1 - c(1 - t)]$

Q32. Arrange the following in chronological order [June 2020 S2 · Q.67]

- (A) Rational Expectation Doctrine
- (B) Keynesian Economics
- (C) Monetarism
- (D) Classical Economics

Choose the correct answer from the options given below

- (1) B, D, C, A
- (2) A, D, C, B
- (3) A, B, C, D
- (4) D, B, C, A

Q33. IS and LM curve analysis explain [June 2020 S2 · Q.68]

- (A) Product market equilibrium
- (B) Money market equilibrium
- (C) Capital market equilibrium
- (D) Foreign trade equilibrium

Choose the correct answer from the options given below:

- (1) A and C only
- (2) A and D only
- (3) A and B only
- (4) C and D only

Q34. Which of the following situations represents an economic investment in the national income calculation? [June 2020 S2 · Q.69]

- (A) Buying a newly constructed house for self-occupation
- (B) Buying of new shares
- (C) Buying a new car by a publishing house for delivering books
- (D) Buying a new car by a household

Choose the correct answer from the options given below:

- (1) A, B and C only
- (2) A, B, C and D only
- (3) A, C and D only
- (4) A and C only

Q35. What is the value of the equilibrium level of income for the data given below for an economy? [June 2020 S2 · Q.70]

$$C = 50 + 0.8 Y_d; t = 20\%; I = 100; G = 30$$

- (1) 400
- (2) 300
- (3) 500
- (4) 600

Q36. GDP expressed in terms of current prices is called [June 2020 S2 · Q.72]

- (1) Real GDP
- (2) Net Domestic Product
- (3) Nominal GDP
- (4) Gross National Product

Q37. Which of the following equations represent national income identity? [June 2020 S2 · Q.73]

- (A) $Y = C + I + X$
- (B) $Y = C + I + G + S$
- (C) $Y = C + I + G + (X - M)$
- (D) $Y = C + I + G + M$

Choose the correct answer from the options given below:

- (1) A only
- (2) C only
- (3) B, C and D only
- (4) A, B and D only

Q38. Match List I with List II [June 2020 S2 · Q.74]

List - I	List - II
(A) Permanent Income Hypothesis	(I) F. Modigliani
(B) Relative Income Hypothesis	(II) J. M. Keynes
(C) Absolute Income Hypothesis	(III) M. Friedman
(D) Life Cycle Hypothesis	(IV) J. Dusenberry

Choose the correct answer from the options given below:

- (1) A - II, B - III, C - IV, D - I
- (2) A - I, B - IV, C - III, D - II
- (3) A - III, B - II, C - I, D - IV
- (4) A - III, B - IV, C - II, D - I

UGC NET December 2020 & June 2021 (merged cycle, exam Nov 2021)

Q39. What type of relationship the Phillips curve postulates between the rate of unemployment and the rate of increase of money wages? [December 2020 · Q.6]

- (1) Inverse
- (2) Direct
- (3) Direct and proportional
- (4) Inverse and proportional

Q40. Which one of the following correctly describes the concept of 'Super Multiplier'? [December 2020 · Q.8]

- (1) Investment multiplier
- (2) Money multiplier
- (3) Interaction between multiplier and accelerator
- (4) Employment multiplier

Q41. Given: $I = 50 + 0.2Y$; $S = -150 + 0.4Y$; $G = 50$, where I = Investment, S = Savings, G = Government Expenditure, Y = National Income. What is the equilibrium level of national income?

[December 2020 · Q.9]

- (1) 2500
- (2) 1250
- (3) 250
- (4) 1500

Q42. The independence of real variables from changes in money supply and nominal variables is called: [December 2020 · Q.10]

- (1) Keynesian dichotomy
- (2) Classical dichotomy
- (3) Money illusion
- (4) Money multiplier

Q43. Which of the following functions will result in an investment multiplier of value 4? [December 2020 · Q.44]

- (A) $C = 50 + .25Y$
- (B) $C = 50 + .75Y$
- (C) $S = -50 + .25Y$
- (D) $I = 50 + .75Y$

Choose the correct answer from the options given below:

- (1) A and C only
- (2) C and D only
- (3) A and D only
- (4) B and C only

Q44. Consider the following statements about the rational expectations model: [December 2020 · Q.56]

- (A) Monetary policy cannot affect output and employment
- (B) Unanticipated changes will not affect real variables in the very short run
- (C) There is equilibrium in the markets
- (D) Economic agents use all relevant available information to form their expectations

Choose the correct answer from the options given below:

- (1) A, C and D only
- (2) A, B and C only
- (3) B, C and D only
- (4) A, B, C and D

Q45. In the context of investments, which of the following statement(s) is/are CORRECT? [December 2020 · Q.57]

- (A) According to the accelerator model, investment demand is proportional to change in income
- (B) The higher the real interest rate, the higher is the rental cost of capital
- (C) Investment is a stock variable
- (D) The real rate of interest is equal to the nominal rate of interest plus the inflation rate

Choose the correct answer from the options given below:

- (1) A and B only
- (2) A and D only
- (3) B and C only
- (4) C and D only

Q46. Match List I with List II [December 2020 · Q.67]

List - I	List - II
(A) Menu cost	(I) Monetary Policy
(B) Quantitative Easing	(II) Inflation
(C) Pump Priming	(III) Phillips curve
(D) Trade-off between inflation and unemployment	(IV) Fiscal policy

Choose the correct answer from the options given below:

- (1) A - II, B - I, C - IV, D - III
- (2) A - I, B - II, C - III, D - IV
- (3) A - III, B - IV, C - I, D - II
- (4) A - IV, B - III, C - II, D - I

Q47. Arrange the following business cycles in ascending order in terms of their approximate duration. [December 2020 · Q.77]

- (A) Kondratiev cycle
- (B) Kitchin cycle
- (C) Juglar cycle
- (D) Kuznets cycle

Choose the correct answer from the options given below

- (1) C, B, A, D
- (2) B, C, D, A
- (3) A, C, B, D
- (4) D, A, C, B

UGC NET December 2021 & June 2022 (merged cycle, exam Oct 2022)

Q48. "Menu Cost" is a concept used in [December 2021 · Q.6]

- (1) Classical economics
- (2) Neo-classical economics
- (3) New-Keynesian economics
- (4) Keynesian economics

Q49. Real and nominal income is calculated respectively at [December 2021 · Q.7]

- (1) Current and constant prices
- (2) Constant and current prices
- (3) Constant and constant prices
- (4) Current and current prices

Q50. What will be the aggregate Domestic Income NDP (FC) of the economy for 2022-23, if GDP (Market Price) = 27,654 Crores; Depreciation = 2847 crores; Indirect taxes less subsidies = 2160 crores? [December 2021 · Q.8]

- (1) 24,807
- (2) 22,647
- (3) 26,967
- (4) 28,467

Q51. The irrelevance of money for real variables in the classical system is called [December 2021 · Q.10]

- (1) Fiscal neutrality
- (2) Monetary neutrality
- (3) Exchange rate neutrality
- (4) Technological neutrality

Q52. In the Mundell-Fleming model, under floating exchange rate, which policy is more effective to influence aggregate income? [December 2021 · Q.22]

- (1) Fiscal policy
- (2) Monetary policy
- (3) Exchange rate policy
- (4) None of the above

Q53. When $MPC = 0.75$, a decrease in taxes Rs. 20 crore will increase GDP by [December 2021 · Q.25]

- (1) Rs. 200 crores
- (2) Rs. 100 crores
- (3) Rs. 600 crores
- (4) Rs. 800 crores

Q54. Which of the following are correct with respect to IS-LM model? [December 2021 · Q.42]

- (A) The LM schedule slopes upward to the right.
- (B) The LM schedule will shift to the left with an increase in quantity of money
- (C) The LM schedule gives equilibrium in the money market
- (D) The IS schedule will shift to the left when there is an increase in government expenditure
- (E) The IS schedule will shift to the right when taxes are reduced

Choose the most appropriate answer from the options given below:

- (1) (A), (C), (E) only
- (2) (A), (B), (C), (D) only
- (3) (A), (C) only
- (4) (B), (D), (C), (E) only

Q55. Match List I with List II: [December 2021 · Q.67]

List - I	List - II
(A) Absolute Income Hypothesis	(I) Milton Friedman
(B) Relative Income Hypothesis	(II) J.M. Keynes
(C) Permanent Income Hypothesis	(III) James Dusenberry
(D) Life Cycle Hypothesis	(IV) Franco Modigliani

Choose the correct answer from the options given below:

- (1) (A)-(II), (B)-(I), (C)-(IV), (D)-(III)
- (2) (A)-(II), (B)-(III), (C)-(I), (D)-(IV)
- (3) (A)-(IV), (B)-(III), (C)-(II), (D)-(I)
- (4) (A)-(III), (B)-(II), (C)-(I), (D)-(IV)

Q56. Match List I with List II: [December 2021 · Q.68]

List - I	List - II
(A) Money supply and price level in an economy are in direct proportion	(I) A.W. Phillips
(B) Inverse relationship between unemployment and rate of wage inflation	(II) Fisher
(C) Profit as reward for innovation	(III) Robert Lucas
(D) Policy ineffective proposition	(IV) Joseph Schumpeter

Choose the correct answer from the options given below:

- (1) (A)-(II), (B)-(I), (C)-(IV), (D)-(III)
- (2) (A)-(III), (B)-(II), (C)-(I), (D)-(IV)
- (3) (A)-(II), (B)-(IV), (C)-(III), (D)-(I)
- (4) (A)-(IV), (B)-(III), (C)-(II), (D)-(I)

Q57. Arrange the different schools of thought in a sequence of their occurrence starting from the oldest. [December 2021 · Q.76]

- (A) Physiocrats
- (B) Keynesian economics
- (C) Classical economics
- (D) New Keynesian economics
- (E) Monetarist Counter revolution

Choose the correct answer from the options given below:

- (1) (A), (B), (C), (E), (D)
- (2) (A), (C), (E), (B), (D)
- (3) (A), (B), (E), (C), (D)
- (4) (A), (C), (B), (E), (D)

UGC NET December 2022 (Shift 1)

Q58. The Sticky-Price Model is [December 2022 S1 · Q.8]

- (1) The upward sloping short run aggregate supply curve
- (2) The upward sloping long run aggregate supply curve
- (3) The downward sloping short run Aggregate Demand curve
- (4) The downward sloping long run Aggregate Demand curve

Q59. Macroeconomics distinguishes between real economy and [December 2022 S1 · Q.10]

- (1) Virtual economy
- (2) Monetary economy
- (3) Normative economy
- (4) Underground economy

Q60. In accelerator theory, capital output ratio is assumed to be [December 2022 S1 · Q.11]

- (1) Increasing
- (2) Independent from level of National income
- (3) Decreasing
- (4) Constant

Q61. Government spending is [December 2022 S1 · Q.12]

- (1) a second element of autonomous expenditure.
- (2) to be controlled by policy makers.
- (3) does not depend directly on the level of income.
- (4) All of the above

Q62. Which of the following formula is used to measure the tax multiplier: [December 2022 S1 · Q.26]

- (1) $-MPC / (1 - MPC)$
- (2) $1 / (1 - MPC)$
- (3) $(1 - MPC) / MPC$
- (4) $(2 - MPC) / MPC$

Q63. The money supply in the IS-LM model is assumed to be [December 2022 S1 · Q.28]

- (1) Real narrow money
- (2) Nominal money supply
- (3) Nominal Broad money
- (4) Real money supply

Q64. Which of the following two economists are associated with the problem of time inconsistency? [December 2022 S1 · Q.29]

- (1) J. M. Keynes and Joan Robinson
- (2) Kydland and Prescott
- (3) Baumol and Tobin
- (4) Friedman and Schwartz

Q65. Which of the following are correct about loanable fund theory? [December 2022 S1 · Q.42]

- (A) Disharding is a major source of supply of loanable funds.
- (B) Demand for hoarding is inversely related to the interest rate.
- (C) Equality between demand and supply of loanable funds is the only condition required for a stable equilibrium.
- (D) Wicksell was one of the propounders of the theory.
- (E) It introduced monetary factors into the theory of interest.

Choose the correct answer from the options given below:

- (1) A, B and D only
- (2) C, D and E only
- (3) B, D and E only
- (4) A, D and E only

Q66. For the computation of National income by the product method, which of the following sectors are considered: [December 2022 S1 · Q.45]

- (A) Registered manufacturing
- (B) Agricultural and allied activities
- (C) Mining and quarrying
- (D) Unregistered manufacturing
- (E) Non-monetised activities

Choose the correct answer from the options given below:

- (1) A, B and C only
- (2) B and C only
- (3) A, B, C and D only
- (4) B, C and D only

Q67. Which of the following statements are correct? [December 2022 S1 · Q.46]

- (A) According to the accelerator model, investment demand is proportional to the change in GDP.
- (B) The real rate of interest is the nominal rate of interest plus the inflation rate.
- (C) The higher the real interest rate, the higher is the rental cost of capital.
- (D) Investment is a stock concept.
- (E) Residential investment is low when mortgage interest rates are high.

Choose the correct answer from the options given below:

- (1) B, C and D only
- (2) A, C and E only
- (3) A, B and E only
- (4) C, D and E only

Q68. Match List I with List II [December 2022 S1 · Q.67]

List - I	List - II
(A) A. W. Phillips	(I) Trade off between wage and unemployment
(B) Findley Shiraz	(II) Money illusion
(C) Modigliani	(III) Life cycle hypothesis
(D) Pigou	(IV) Taxable capacity

Choose the correct answer from the options given below:

- (1) A - II, B - I, C - III, D - IV
- (2) A - I, B - IV, C - III, D - II
- (3) A - I, B - II, C - III, D - IV
- (4) A - III, B - IV, C - I, D - II

Q69. Given below are two statements, one is labelled as Assertion (A) and the other is labelled as Reason (R). [December 2022 S1 · Q.89]

Assertion (A): Partisan theory views macroeconomic policy outcomes as the result of ideologically motivated decisions by leaders of different political parties.

Reason (R): The parties represent constituencies with different preferences concerning macroeconomic variables.

In light of the above statements, choose the correct answer from the options given below:

- (1) Both (A) and (R) are true and (R) is the correct explanation of (A).
- (2) Both (A) and (R) are true but (R) is NOT the correct explanation of (A).
- (3) (A) is true but (R) is false.
- (4) (A) is false but (R) is true.

Q70. Given below are two statements: [December 2022 S1 · Q.90]

Statement I: Supply side policies are long term measures to increase the productive capacity of the economy leading to an outward shift in the production possibility curve.

Statement II: Privatisation is the act of selling state owned assets in order to increase competition, productivity and efficiency.

In light of the above statements, choose the correct answer from the options given below:

- (1) Both Statement I and Statement II are true.
- (2) Both Statement I and Statement II are false.
- (3) Statement I is true but Statement II is false.
- (4) Statement I is false but Statement II is true.

UGC NET December 2022 (Shift 2)

Q71. The Keynes's animal spirits are closely associated with [December 2022 S2 · Q.8]

- (1) Past investment
- (2) Current investment
- (3) Aggregate income
- (4) Aggregate expenditure

Q72. In the Mundell-Fleming model, the monetary policy will be more effective when there is [December 2022 S2 · Q.9]

- (1) Perfect capital mobility and flexible exchange rate
- (2) Perfect capital mobility and fixed exchange rate
- (3) Imperfect capital mobility and flexible exchange rate
- (4) Imperfect capital mobility and fixed exchange rate

Q73. The chain-weighted index is [December 2022 S2 · Q.11]

- (1) The total market value of goods and services produced in each year
- (2) The percentage growth in real GDP
- (3) A method for calculating changes in prices that used an average of base year from neighbouring years
- (4) An Index that measures how the prices of goods and services included in GDP change.

Q74. If the consumption function passes through the origin and $APC = MPC$ then it must be:

[December 2022 S2 · Q.12]

- (1) Linear without any intercept
- (2) Non linear without any intercept
- (3) Linear with a negative intercept on the income axis
- (4) Linear with a positive intercept on the consumption axis

Q75. In context of monetary policy, the sacrifice ratio refers to the [December 2022 S2 · Q.29]

- (1) Interest cost arising because of crowding out effect
- (2) Loss of real value of money at the face of increasing inflation
- (3) Output cost of reducing inflation
- (4) Labour cost raising minimum wage

Q76. Rational expectations views include: [December 2022 S2 · Q.44]

- (A) The market clearing rational expectations do not approach to the Phillips curve
- (B) Rational expectation as a theory of expectations
- (C) An emphasis on the credibility of policy makers
- (D) A preference for policy making rules rather than discretion
- (E) Generally insists that markets do not clear rapidly.

Choose the most appropriate answer from the options given below:

- (1) B, C and D only
- (2) A and E only
- (3) A, B, C, D and E
- (4) A, D and E only

Q77. How do adverse technology shocks affect labour demand and supply? [December 2022 S2 · Q.46]

- (A) Decrease the demand for labour
- (B) Both real wage and employment fall
- (C) Real wage increases and employment falls
- (D) Real wage falls and employment increases
- (E) Adverse effect on market equilibrium.

Choose the correct answer from the options given below:

- (1) A, C and D only
- (2) B, D and E only
- (3) A, B, C and D only
- (4) A, B and E only

Q78. Given below are two statements: [December 2022 S2 · Q.87]

Statement I: When the level of investment is itself determined within the system then the effectiveness of monetary policy is enhanced by an elastic investment and inelastic liquidity preference schedule, whereas the opposite holds for the effectiveness of fiscal policy.

Statement II: Monetary policy, by accommodating fiscal policy may forestall the crowding out effect.

In the light of the above statements, choose the correct answer from the options given below:

- (1) Both Statement I and Statement II are true
- (2) Both Statement I and Statement II are false
- (3) Statement I is true but Statement II is false
- (4) Statement I is false but Statement II is true

Q79. Given below are two statements: [December 2022 S2 · Q.90]

Statement I: The IS curve is negatively sloped because an increase in the interest rate reduces planned investment spending and therefore reduces the equilibrium level of income.

Statement II: The smaller the multiplier and the less sensitive investment spending is to changes in the interest rate, the steeper is the IS curve.

In the light of the above statements, choose the correct answer from the options given below:

- (1) Both Statement I and Statement II are correct
- (2) Both Statement I and Statement II are incorrect
- (3) Statement I is correct but Statement II is incorrect
- (4) Statement I is incorrect but Statement II is correct

UGC NET June 2023 (20 June 2023)

Q80. Taylor's Rule tells, [June 2023 · Q.55]

- (1) how monetary authority sets interest rate in response to economic activity
- (2) how monetary authority maintains bank rate
- (3) how monetary authority maintains exchange rate
- (4) how government decides the tax rate to increase the tax base.

Q81. Given the income multiplier formula $m = 1/(1 - MPC)$, lower the marginal propensity to save,

[June 2023 · Q.57]

- (1) Higher will be the multiplier effect
- (2) Lower will be the multiplier effect
- (3) Multiplier will become infinite
- (4) Multiplier will become zero

Q82. In the national income identity $Y = C + I + G$, investment (I) is a function of, [June 2023 · Q.58]

- (1) Real Income
- (2) Nominal Income
- (3) Real Interest Rate
- (4) Nominal Interest Rate

Q83. Which one of the following is not correct about LM schedule? [June 2023 · Q.59]

- (1) The LM schedule slopes upward to the right.
- (2) The LM schedule will be relatively flat (steep) if the interest elasticity of money demand is relatively high (low).
- (3) The LM schedule will shift downward (upward) to the right (left) with an increase (decrease) in the quantity of money.
- (4) The LM schedule is the schedule giving the combinations of values of investment and interest rate that produce equilibrium in the money market.

Q84. When MPS is 0.25 and initial increase in autonomous spending is Rs. 100, then the expenditure multiplier and resultant increase in GDP respectively are : [June 2023 · Q.75]

- (1) 1, Rs. 100
- (2) 0.75, Rs. 75
- (3) 4, Rs. 400
- (4) 1.33, Rs. 133

Q85. Which of the following can be an equation representing the money market [June 2023 · Q.77]

- (1) $300 = 2Y - 1.5i$
- (2) $i = 150 - Y$
- (3) $Y = 100 - i$
- (4) $i = (150 - 2Y)/2$

Q86. The concept of "excess sensitivity" and "excess smoothness" are explained by following statement(s). [June 2023 · Q.94]

- (A) 'Excess sensitivity' refers to a situation where consumption over responds to temporary income shocks.
- (B) 'Excess smoothness' refers to a situation where consumption under responds to temporary income changes.
- (C) With excess sensitivity, anticipated rise in income is associated with relatively small change in consumption.
- (D) With excess smoothness, changes in aggregate income are associated with relatively large changes in aggregate consumption.
- (E) 'Excess sensitivity' and 'Excess smoothness' are related to the empirical evidences of permanent income hypothesis.

Choose the correct answer from the option given below :

- (1) A, B, C, D only
- (2) A, B, C, E only
- (3) A, B, D only
- (4) A, B, E only

Q87. According to Tobin's Q theory of investment, when should a firm invest? [June 2023 · Q.95]

- (A) there is increase in the price of output
- (B) there is an increase in marginal product of capital
- (C) there is an increase in rate of interest
- (D) there is a decrease in rate of depreciation
- (E) marginal benefit of investment exceeds marginal cost

Choose the correct answer from the option given below :

- (1) B, C, D, E only
- (2) A, C, D, E only
- (3) A, B, D, E only
- (4) A, B, C, D only

Q88. Which of the following is/are true about paradox of thrift? [June 2023 · Q.96]

- (A) Paradox of thrift was popularized by J. M. Keynes.
- (B) It states that personal savings can be detrimental to overall economic growth.
- (C) It shows the relationship between output growth and rate of unemployment.
- (D) It shows the relationship between inflation and rate of interest.
- (E) It states that individuals saving during an economic recession leads to fall in aggregate demand.

Choose the correct answer from the option given below :

- (1) A, B, C only
- (2) B, C, D only
- (3) C, D, E only
- (4) A, B, E only

Q89. Match List I with List II [June 2023 · Q.125]

List - I	List - II
(A) Central Bank Loss Function	(I) $y_t = A - a \cdot r_{t-1}$
(B) Monetary Rule (MR)	(II) $\pi_t = \pi_{t-1} + \alpha(y_t - y_e)$
(C) Phillips Curve (PC)	(III) $(y_t - y_e) = -\alpha\beta(\pi_t - \pi^T)$
(D) Dynamic IS Curve	(IV) $L = (y_t - y_e)^2 + \beta(\pi_t - \pi^T)^2$

Choose the correct answer from the options given below:

- (1) A-II, B-III, C-IV, D-I
- (2) A-III, B-II, C-IV, D-I
- (3) A-IV, B-III, C-II, D-I
- (4) A-IV, B-III, C-I, D-II

UGC NET December 2023 (12 Dec 2023, Shift 1)

Q90. If the interest rate is exogenously determined by the Central Bank of some country and the money supply is endogenously determined, the slope of the LM-curve in the interest rate-income plane would be : [December 2023 S1 · Q.86]

- (1) Positively sloped
- (2) Negatively sloped
- (3) Horizontal
- (4) Vertical

Q91. An economy characterised by huge involuntary unemployment would have an aggregate labour supply curve in a real wage-labour supply plane that would be : [December 2023 S1 · Q.90]

- (1) Positively sloped
- (2) Vertical
- (3) Flat
- (4) Negatively sloped

Q92. Suppose an economy is in medium-run equilibrium. Now the government enacts a law, making entry of new firms difficult, which increases the monopoly power of the existing firms. Which of the following statements are true about this change ? [December 2023 S1 · Q.95]

- (A) Output level will be lower in medium-run
- (B) Output level will be lower in short-run
- (C) Price level will be higher in medium-run
- (D) Price level will be higher in short-run

Choose the correct answer from the options given below :

- (1) (A) and (C) Only
- (2) (B), (C) and (D) Only
- (3) (B) and (C) Only
- (4) (A), (B) (C) and (D) Only

Q93. Consider the following statements about the Aggregate Demand (AD) relation under price flexibility and say which ones are correct ? [December 2023 S1 · Q.102]

- (A) The AD curve will shift to the right if autonomous investment rises.
- (B) The AD curve will shift to the right if net exports rise in an open economy.
- (C) The AD curve will shift to the left if money supply contracts.
- (D) As price rises, shifting the LM curve, the AD curve shifts to the left

Choose the correct answer from the options given below :

- (1) (A), (B), (C) Only
- (2) (B), (C), (D) Only
- (3) (A), (C), (D) Only
- (4) (A), (B), (C), (D)

Q94. Given the following statements about major schools of thought in macroeconomics, state which ones are correct ? [December 2023 S1 · Q.103]

- (A) The Keynesians believed in wage and price flexibility and highlighted the role of aggregate supply.
- (B) The monetarists highlighted the importance of money in the economic system and that of expectations in the analysis of inflation.
- (C) The classical school believed in the invisible hand and the efficiency of the market mechanism
- (D) The new Keynesians make use of the assumption of imperfect markets in their frameworks.

Choose the correct answer from the options given below :

- (1) (B), (C), (D) Only
- (2) (A), (B), (C), (D)
- (3) (A), (C), (D) Only
- (4) (A), (B), (C) Only

Q95. Consider an economy with perfect capital mobility, fixed price level and flexible exchange rate. Starting from equilibrium, suppose there is a monetary expansion. Which of the following are true for the new equilibrium, as compared to the initial equilibrium ? [December 2023 S1 · Q.104]

- (A) Output will be higher
- (B) Consumption will be higher
- (C) Interest rate will be lower
- (D) Interest rate will be higher

Choose the correct answer from the options given below :

- (1) (A) Only
- (2) (B) Only
- (3) (A) and (B) Only
- (4) (A) and (C) Only

Q96. Match the following : [December 2023 S1 · Q.121]

List - I	List - II
List - I: Theory	List - II: Economist(s) who gave it
(A) Permanent Income Hypothesis of Consumption	(I) T. Sargent and N. Wallace
(B) Life-cycle Hypothesis of Consumption	(II) Milton Friedman
(C) Real Business Cycle Theory	(III) Franco Modigliani
(D) Policy Ineffectiveness Proposition	(IV) F. Kydland and E. Prescott

Choose the correct answer from the options given below :

- (1) A-III, B-II, C-I, D-IV
- (2) A-III, B-II, C-IV, D-I
- (3) A-II, B-III, C-IV, D-I
- (4) A-II, B-III, C-I, D-IV

Q97. Match List - I with List - II. [December 2023 S1 · Q.124]

List - I	List - II
List - I: Property	List - II: Type of Curve
(A) Investment is unresponsive to interest rates	(I) Relatively flat IS curve
(B) Money demand is perfectly elastic w.r.t. interest rates	(II) Vertical LM curve
(C) Money demand is completely inelastic w.r.t. interest rates	(III) Horizontal LM curve
(D) Investment is highly responsive to interest rates	(IV) Vertical IS curve

Choose the correct answer from the options given below :

- (1) A-IV, B-III, C-II, D-I
- (2) A-IV, B-II, C-III, D-I
- (3) A-I, B-III, C-II, D-IV
- (4) A-III, B-IV, C-I, D-II

Q98. Arrange the given schools of thought in macroeconomics in chronological order, from the oldest to most recent one. [December 2023 S1 · Q.134]

- (A) The Keynesian school
- (B) The new classical school
- (C) The classical school
- (D) The new Keynesian school
- (E) The monetarists

Choose the correct answer from the options given below :

- (1) (A), (D), (C), (B), (E)
- (2) (E), (C), (B), (A), (D)
- (3) (C), (B), (A), (D), (E)
- (4) (C), (A), (E), (B), (D)

UGC NET August 2024 (28 Aug 2024, Shift 1)

Q99. The rise in the nominal stock of money causes: [August 2024 S1 · Q.52]

- (1) an increase in the equilibrium nominal interest rate and a decrease in equilibrium real income.
- (2) a reduction in the equilibrium nominal interest rate and an increase in equilibrium real income.
- (3) a reduction in the equilibrium nominal interest rate and a decrease in equilibrium real income.
- (4) an increase in the equilibrium nominal interest rate and an increase in the equilibrium real income.

Q100. Suppose savings function is $S = -5 + 0.3q$, then find the correct answer from below: [August 2024 S1 · Q.66]

- (1) $APC < MPC$
- (2) $APC = MPC$
- (3) $APS > MPS$
- (4) $APC > MPC$

Q101. In the leakage-injection approach to income determination, an increase in lump-sum tax *ceteris paribus* shifts the [August 2024 S1 · Q.69]

- (1) Investment plus govt. spending line upward
- (2) Investment plus govt. spending line downward
- (3) The savings plus tax line to the left
- (4) Increases the equilibrium level of income

Q102. The phrase 'demonstration effect' was coined by: [August 2024 S1 · Q.75]

- (1) James Duesenberry
- (2) J.K. Galbraith
- (3) Joan Robinson
- (4) J.M. Keynes

Q103. Gross domestic Product or GDP is defined as: [August 2024 S1 · Q.88]

- (1) $GDP = \text{Aggregate Domestic Income} + \text{Indirect Taxes} + \text{Depreciation}$
- (2) $GDP = \text{Aggregate Domestic Income} + \text{Indirect Taxes} - \text{Depreciation}$
- (3) $GDP = \text{Aggregate Domestic Income} + \text{Depreciation} - \text{Indirect Taxes}$
- (4) $GDP = \text{Aggregate Domestic Income} + \text{Depreciation} - \text{Net Domestic Product (NDP)}$

Q104. The concept of efficiency wage theory was developed by: [August 2024 S1 · Q.89]

- (1) Yellen and Stiglitz
- (2) Jan Tinbergen
- (3) Alfred Marshall
- (4) Vilfredo Pareto

Q105. Arrange the following in chronological order starting from earliest to latest: [August 2024 S1 · Q.105]

- (A) A.W. Phillips: The Phillips Curve
- (B) J.M. Keynes: General Theory of Employment, Interest and Money
- (C) Adam Smith: Theory of Growth
- (D) John F. Muth: Rational Expectations Approach
- (E) Robert M. Solow: Growth Model

Choose the correct answer from the options given below:

- (1) (A), (B), (C), (D), (E)
- (2) (C), (B), (E), (A), (D)
- (3) (B), (A), (C), (E), (D)
- (4) (E), (D), (C), (B), (A)

Q106. Inflation confers no benefits on society, but it imposes several real costs. What among the following are costs of inflation? [August 2024 S1 · Q.107]

- (A) Shoeleather costs associated with reduced money holdings
- (B) Menu cost associated with more frequent adjustment of prices
- (C) Increased variability of relative prices
- (D) Unintended changes in tax liabilities due to nonindexation of the tax code
- (E) Arbitrary redistribution of wealth associated with debts

Choose the correct answer from the options given below:

- (1) (A), (B), (C) only
- (2) (C), (D), (E) only
- (3) (B), (D), (A) only
- (4) (A), (B), (C), (D), (E)

Q107. Consider the following statements and identify the correct ones? [August 2024 S1 · Q.110]

- (A) According to the accelerator models, investment demand is proportional to the change in GNP.
- (B) The real rate is the nominal rate of interest plus the inflation.
- (C) The higher the real interest rate, the higher is the rental cost of capital.
- (D) Investment is a stock concept
- (E) Rate of interest is a flow concept

Choose the correct answer from the options given below:

- (1) (B) and (C) only
- (2) (A) and (B) only
- (3) (A) and (C) only
- (4) (A), (B) and (C) only

UGC NET December 2024

Q108. There is an inverse relationship between the rate of interest and the speculative Demand for Money. This is due to: [December 2024 · Q.56]

- (1) Adaptive Expectation Hypothesis
- (2) Regressive Expectation Hypothesis
- (3) Rational Expectation Hypothesis
- (4) Relative Wage Hypothesis

Q109. Given the following statements about major schools of thought in macro economics, state which ones are correct: [December 2024 · Q.59]

- (A) The New Keynesians assume Rational Expectation and market imperfections and highlight the role of aggregate demand.
- (B) The Monetarists assume Rational Expectation, non-competitive markets and highlight the role of monetary policy.
- (C) The New Classicals assume Rational Expectation, competitive markets and highlight policy irrelevance.
- (D) The Classicals assume a competitive, and frictionless economy and highlight policy ineffectiveness.
- (E) The Keynesians assume wage and price flexibility and highlight policy effectiveness.

Choose the correct answer from the options given below:

- (1) A, C & D Only
- (2) A, B, C & D Only
- (3) B, C, D & E Only
- (4) C & D Only

Q110. Arrange in descending order the extent of crowding out effects as under: [December 2024 · Q.62]

- (A) Classical Macro model
- (B) Complete Keynesian system assuming general condition
- (C) IS - LM framework assuming general conditions
- (D) Simple Keynesian model

Choose the correct answer from the options given below:

- (1) A, B, C, D
- (2) B, A, C, D
- (3) B, C, D, A
- (4) A, B, D, C

Q111. According to the Real Business Cycle School, in the absence of supply shock: [December 2024 · Q.75]

- (1) There is only involuntary unemployment
- (2) There is only voluntary unemployment
- (3) There is both voluntary & involuntary unemployment simultaneously
- (4) There is no unemployment at all

Q112. When C_d , I_d & G_d stand for consumption expenditure, investment expenditure & government expenditure respectively, on domestically produced goods & services & X & M stand for aggregate values of export & import for a country, respectively, GDP is calculated as : [December 2024 · Q.90]

- (1) $C_d + I_d + G_d + X - M$
- (2) $C + I + G_d + X$
- (3) $C_d + I_d + G_d - M$
- (4) $C_d + I_d + G_d + X$

Q113. Marginal Efficiency of Capital (MEC) & Marginal Efficiency of Investment (MEI) converge perfectly, when: [December 2024 · Q.98]

- (1) Net rate of investment is positive
- (2) Net rate of investment is negative
- (3) Net rate of investment is zero
- (4) Net value of capital stock is zero

Q114. Match LIST-I with LIST-II [December 2024 · Q.100]

List - I	List - II
(A) Expansionary monetary policy under Adaptive Expectations.	(I) Policy is ineffective with only general inflation.
(B) Anticipated expansionary monetary policy under Rational Expectations.	(II) Policy is ineffective with only general deflation.
(C) Money wage cut during great depression.	(III) Policy is effective in the short run, although not in the long run.
(D) The presence of sizeable menu cost.	(IV) Policy is effective with no general inflation / deflation.

Choose the correct answer from the options given below:

- (1) A-I, B-II, C-III, D-IV
- (2) A-II, B-I, C-III, D-IV
- (3) A-III, B-I, C-II, D-IV
- (4) A-III, B-I, C-IV, D-II

Q115. A continuous supply shock leads to: [December 2024 · Q.104]

- (1) A continuous shift of Phillips Curve to the left such that unemployment & inflation both fall.
- (2) A continuous shift of Phillips Curve to the right such that unemployment & inflation both rise.
- (3) A continuous movement along the Phillips curve such that unemployment & inflation both fall.
- (4) A continuous movement along the Phillips curve such that unemployment falls & inflation rises.

Q116. In the Keynesian system, an increase in money supply will increase the demand for goods & services by: [December 2024 · Q.111]

- (1) Increasing consumption via Real Balance Effect
- (2) Increasing bond demand & thereby reducing the interest rate.
- (3) Reducing bond demand & thereby reducing the interest rate.
- (4) Increasing real wage & thereby increasing the transaction demand.

Q117. In the IS - LM framework, under general recessionary condition, as government expenditure (G) rises, [December 2024 · Q.112]

- (A) As Bond price (pb) falls, rate of interest (r) rises, reducing the level of investment (I).
- (B) Aggregate demand for commodities rises, raising the level of aggregate output & income (Y).
- (C) Fall in private investment (I) reduces aggregate income.
- (D) People sell bond (b) to get money & hence bond supply (Bs) rises, reducing bond price (pb).
- (E) Transaction demand for money (L1) rises, creating money demand greater than money supply ($L > M$).

Choose the correct answer from the options given below (correct sequence):

- (1) A, B, C, D, E
- (2) B, E, D, A, C
- (3) B, D, E, C, A
- (4) E, B, A, D, C

Q118. Given the following statements, state which ones are correct: [December 2024 · Q.123]

- (A) GDP is devoid of all types of double - counting.
- (B) Donations are included in National Income
- (C) Alms are included in Personal Income
- (D) Inventory is included in investment
- (E) Foreign workers' income is included in GNP but not in GDP

Choose the correct answer from the options given below:

- (1) A & C Only
- (2) A, C, D & E Only
- (3) C, D & E Only
- (4) C & D Only

Q119. Effective Demand Problem may arise even in a competitive market economy under Rational Expectation, if there is: [December 2024 · Q.126]

- (1) Perfect Foresight.
- (2) Coordination Failure.
- (3) Anticipated demand shock.
- (4) Unanticipated supply shock.

Q120. In the New Classical Macro Model without unanticipated shock, we may have - [December 2024 · Q.137]

- (A) Voluntary unemployment
- (B) Involuntary unemployment
- (C) Disguised unemployment
- (D) Cyclical unemployment
- (E) Natural rate of unemployment

Choose the correct answer from the options given below:

- (1) A & D Only
- (2) B & C Only
- (3) D & E Only
- (4) A & E Only

Q121. Arrange the introduction of the following concepts in chronological order (oldest to latest)

[December 2024 · Q.138]

- (A) Adaptive expectation hypothesis by Friedman.
- (B) Relative income hypothesis by Duesenberry.
- (C) Efficiency wage hypothesis by Stiglitz.
- (D) Rational expectation hypothesis by Lucas.
- (E) Effective demand problem by Kalecki

Choose the correct answer from the options given below:

- (1) E, A, B, C, D
- (2) B, A, E, C, D
- (3) B, A, D, C, E
- (4) E, B, A, D, C

UGC NET June 2025 (29 June 2025, Shift 2)

Q122. In the context of classical economics, an increase in money supply causes. [June 2025 S2 · Q.55]

- (1) A shift in aggregate demand curve to the left
- (2) A shift in aggregate demand curve to the right
- (3) A shift in aggregate supply curve to the right
- (4) No change in aggregate demand and aggregate supply, only price increases

Q123. If the value of Keynesian investment multiplier is 4, which one of the following will be the corresponding saving function? [June 2025 S2 · Q.56]

- (1) $S = -4 + 0.4Y_D$
- (2) $S = -10 + 0.75Y_D$
- (3) $S = -12 + 0.25Y_D$
- (4) $S = -6 + 0.35Y_D$

Q124. Which of the following causes a positive output gap, where, output gap = Actual output – Potential output? [June 2025 S2 · Q.57]

- (1) Population growth
- (2) Technological progress
- (3) Overemployment of factors of production
- (4) Under utilization of resources

Q125. In the context of IS-LM model, a higher marginal propensity to spend results in: [June 2025 S2 · Q.58]

- (1) A flatter aggregate demand curve and consequently a steeper IS curve
- (2) A steeper aggregate demand curve and consequently a flatter IS curve
- (3) Increase in aggregate demand and a rightward shift of the IS curve
- (4) Increase in demand for real balances

Q126. If the marginal propensity to consume is 0.8 and initial increase in tax revenues by the government is Rs. 100, then the impact on national income would be: [June 2025 S2 · Q.81]

- (1) National Income will increase by Rs. 100
- (2) National Income will increase by Rs. 500
- (3) National Income will decrease by Rs. 400
- (4) National Income will decrease by Rs. 100

Q127. Which of the following is likely to lead to a rise in the output cost of disinflation? [June 2025 S2 · Q.83]

- (1) Inflation expectations become more accurate.
- (2) Sluggish response of wages and prices to monetary contraction.
- (3) Gradual policy response.
- (4) Rational expectations.

Q128. According to Lucas Critique. [June 2025 S2 · Q.84]

- (1) It assumes monetary policy not to be neutral with respect to real variables.
- (2) Drifting coefficients can make macro econometric models more reliable.
- (3) Keynesian models correctly consider the impact of policies on future expectations.
- (4) The stability of coefficients of models are important for policy predictions.

Q129. According to classical economics, an increase in government deficit spending leads to. [June 2025 S2 · Q.109]

- (A) a shift in the demand for loanable fund to the right
- (B) decline in interest rate
- (C) increase in investment
- (D) increase in saving equal to decline in consumption
- (E) decrease in investment and consumption that balances the increase in government spending.

Choose the correct answer from the options given below:

- (1) A, B & D Only
- (2) A, D & E Only
- (3) A, B, C & D Only
- (4) C, D & E Only

Q130. Which of the followings are the effects of increase in government spending in IS-LM framework in a closed economy? [June 2025 S2 · Q.110]

- (A) Increase in income by multiplier times government expenditure.
- (B) Shift in IS curve to the right leading to disequilibrium in money market at given level of interest rate.
- (C) Quantity of money demand will be higher.
- (D) Interest rate will decrease.
- (E) Private investment will increase leading to increase in aggregate demand.

Choose the correct answer from the options given below:

- (1) B, C & D Only
- (2) C, D & E Only
- (3) A, B & C Only
- (4) B, D & E Only

Q131. Which of the followings are true about New Classical approach, [June 2025 S2 · Q.118]

- (A) The main protagonist was R.E. Lucas Jr.
- (B) It is based on adaptive expectation.
- (C) It was developed during 1950s.
- (D) Complete wage and price flexibility.
- (E) Difference between actual and expected price is a random error.

Choose the most appropriate answer from the options given below:

- (1) A, B & E Only
- (2) A, D & E Only
- (3) B, C, D & E Only
- (4) A, B & D Only

Q132. Which of following are not an assumptions of policy ineffectiveness propositions? [June 2025 S2 · Q.119]

- (A) Rational expectation
- (B) Policy changes are not anticipated
- (C) Economic agents have full information
- (D) Nominal variables influence economic decision,
- (E) Output and employment are at their natural level

Choose the most appropriate answer from the options given below:

- (1) B & D Only
- (2) A, C & D Only
- (3) A, B, D & E Only
- (4) C, D & E Only

UGC NET December 2025 (Exam held 31 Dec 2025 - 7 Jan 2026)

Q133. In case of balanced budget multiplier: [December 2025 · Q.66]

- (A) Output increases less than the increase in government spending.
- (B) Output increases more than the increase in government spending.
- (C) Government spending and taxes are raised in equal amounts.
- (D) The value of multiplier is equal to 1.

Choose the correct answer from the options given below:

- (1) C and D Only
- (2) B and C Only
- (3) A, B and C Only
- (4) B and D Only

Q134. Given GNP at market price Rs. 14400 crores, consumption Rs. 12000 crores, government purchases Rs. 1200 crores, exports Rs. 1000 crores and imports Rs. 1500 crores, the value of investment will be: [December 2025 · Q.69]

- (1) Rs. 1200 Crores
- (2) Rs. 2000 Crores
- (3) Rs. 1500 Crores
- (4) Rs. 1700 Crores

Q135. Match List - I with List - II. [December 2025 · Q.73]

List - I	List - II
(A) Debt-deflation theory	(I) Falling price levels raises the income levels
(B) Pigou effect	(II) A policy of announcing future monetary action
(C) Forward guidance	(III) The effects of unexpected fall in price level could depress income
(D) Okun's law	(IV) An inverse relationship between unemployment and real GDP

Choose the correct answer from the options given below:

- (1) A-I, B-III, C-II, D-IV
- (2) A-III, B-II, C-IV, D-I
- (3) A-III, B-I, C-II, D-IV
- (4) A-IV, B-I, C-II, D-III

Q136. (A) Innovation Theory of Business cycle was given by Jorgenson [December 2025 · Q.83]

- (B) Pure Monetary Theory of Business cycle was given by Hawtrey
- (C) Monetary-over-investment Theory of Business cycle was given by Clark
- (D) Multiplier-Acceleration Interaction Theory of Business cycle was given by Samuelson

Choose the correct answer from the options given below:

- (1) A and B only
- (2) B and D only
- (3) A, B and C only
- (4) A and D only

Q137. Which one of the following is NOT true about rational expectation? [December 2025 · Q.89]

- (1) Rational expectations theory has been developed by Hansen.
- (2) It is used in decision making by households, firms and labour for making their expectations about relevant variables.
- (3) The rational expectation uses all relevant information.
- (4) It is not an error free expectation.

Q138. Which one of the following is true for the phenomenon of Liquidity trap? [December 2025 · Q.103]

- (1) The entire additional money supply is spent on buying bonds
- (2) The level of rate of interest is very high
- (3) The entire additional money supply is held by the public as idle cash balance
- (4) The interest rate will decrease from the point of liquidity trap

Q139. For the given information regarding an economy, the value of equilibrium level of income is: $C = 100 + 0.75Y_d$; $G = 40$; $I = 60$; $t = 0.2$. Here, C = consumption, Y_d = disposable income, G = Govt. expenditure, I = Investment, t = tax rate [December 2025 · Q.110]

- (1) 200
- (2) 500
- (3) 400
- (4) 450

Q140. Given below are two statements: one is labelled as Assertion (A) and the other is labelled as Reason (R). [December 2025 · Q.115]

Assertion (A): Deficit spending by the government leads to crowding out effect on private investment.

Reason (R): When the government finances its deficit by borrowing from the market, the bond prices go up and the rate of interest falls.

In the light of the above statements, choose the most appropriate answer from the options given below:

- (1) Both (A) and (R) are correct and (R) is the correct explanation of (A)
- (2) Both (A) and (R) are correct but (R) is not the correct explanation of (A)
- (3) (A) is correct but (R) is not correct
- (4) (A) is not correct but (R) is correct

Q141. Match List - I with List - II. [December 2025 · Q.116]

List - I	List - II
(A) Q theory	(I) Unemployment and inflation
(B) Phillips curve	(II) Unemployment and output
(C) Okun's Law	(III) Investment
(D) Liquidity trap	(IV) Demand for money and interest rate

Choose the correct answer from the options given below:

- (1) A-III, B-I, C-II, D-IV
- (2) A-I, B-II, C-IV, D-III
- (3) A-III, B-II, C-I, D-IV
- (4) A-II, B-IV, C-I, D-III

Q142. Choose the correct statements: [December 2025 · Q.119]

- (A) The 'q' theory emphasises that the investment increases when assets are valuable relative to their reproduction cost.
- (B) With a fixed exchange rate fiscal expansion under free capital mobility is completely ineffective in raising output.
- (C) Under Investment tax credit, government pays part of the cost of investment.
- (D) Under fixed exchange rate and perfect capital mobility a country cannot pursue an independent monetary policy.

Choose the correct answer from the options given below:

- (1) B and D Only
- (2) A and D Only
- (3) A, C and D Only
- (4) A, B and C Only